

EC069344 EC069344

County: los-angeles

Division: Civil Law and Motion

Department: B

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Case Number: EC069344 Hearing Date: September 18, 2026 Dept: B

Hon. Victor Avila, Dept B

MOTION TO STAY PROCEEDINGS

Hearing Date: 9/18/26

CASE NO.: EC069344

CASE NAME: Michael Lawrence Kline v. Michael Dibacco

Moving Party: Defendant Michael Dibacco

Responding Party: Plaintiff Michael Lawrence Kline

Notice: Sufficient

Ruling: DENY

NOTICE

The Court is not requesting oral argument on this matter/motion. The Court is guided by California Rules of Court, Rule 3.1308(a)(1) whereby notice of intent to appear is requested. Unless the Court directs argument in the Tentative Ruling, no argument is requested and ANY PARTY SEEKING ARGUMENT SHOULD NOTIFY ALL OTHER PARTIES AND THE COURT BY 3:30 P.M. ON THE COURT DAY BEFORE THE HEARING of the party's intention to argue as to this matter/motion. The tentative ruling will

become the ruling of the court if no argument is received. Notice may be given either by email at BurDeptB@LACourt.org or by telephone at (818) 260-8422.

Parties must appear on all other matters scheduled for this case.

BACKGROUND

This is a breach of contract action.

Plaintiff Michael Lawrence Kline (Plaintiff) and defendant Michael Dibacco (Defendant) were partners in a California Limited Liability Company that operated as a restaurant and bar known as Michaels on Riverside and The Red Door in Toluca Lake, California. On September 7, 2018, Plaintiff filed the initial Complaint against Defendant. On May 12, 2026, Plaintiff filed the Fourth Amended Complaint for breach of fiduciary duty, fraud, and violation of Penal Code § 496 alleging that Defendant had misrepresented the financial status of the business, misappropriated funds, and maintained fraudulent records. (See Fourth Amended Complaint.)

On October 29, 2020, Defendant filed for Chapter 7 Bankruptcy in United States Bankruptcy Court. On November 10, 2020, Defendant filed a notice of bankruptcy stay with this Court. On February 4, 2021, Plaintiff filed an adversarial action against Defendant with the Bankruptcy Court. In September of 2024, the adversarial Bankruptcy proceedings ended, concluding all bankruptcy proceedings.

On January 15, 2025, this Court ordered the stay on the bankruptcy proceedings lifted in light of notice of Bankruptcy Judgment.

On July 28, 2026, Defendant filed the instant motion to stay proceedings. On August 5, 2026, Plaintiff filed an opposition. As of September 15, 2026, no reply has been filed.

LEGAL

STANDARD

“[A] court ordinarily has inherent power, in its discretion, to stay proceedings when such a stay will accommodate the ends of justice.” (OTO, L.L.C. v. Kho, (2019) 8 Cal.5th 111, 141 [citing People v. Bell, (1984) 159 Cal.App.3d 323, 329.]) “[T]he power to stay proceedings is incidental to the power inherent in every court to control the disposition of the causes on its docket with economy of time and effort for itself, for counsel, and for

litigants.” (OTO, L.L.C., supra, 8 Cal.5th at p. 141 [quoting Landis v. North American Co. (1936) 299 U.S. 248, 254].)

DISCUSSION

Defendant seeks

an order staying the instant action until a pending appeal to a separate bankruptcy proceeding is adjudicated. Defendant argues that the federal bankruptcy appeal concerns the partnership agreement which is the basis of the state claims in this case. (Mot., p. 6.) Defendant argues that Plaintiff relies on a materially different version of the subject agreement and will obtain an advantage if the trial is not stayed until the conclusion of the appeal. (Mot., p. 8.)

In opposition,

Plaintiff reminds the Court that Defendant has sought ten continuances and stays in effort to delay litigation up. (Opp., p. 1.) Plaintiff argues that Defendant cites no law entitling him to a stay and attempts to create a correlation between this trial and the bankruptcy proceeding to attempt and force a stay of this proceeding. (Opp., pp. 7-9) Further, Plaintiff argues that there is no basis for an automatic stay due to the pending bankruptcy appeal because this underlying trial court proceeding is not affected by the appeal. (Opp., pp. 10-11.) Plaintiff urges the Court to deny this motion to stay as it has been made up against the start of trial and would egregiously prejudice Plaintiff. (Opp., p. 13.)

Here, the Court

has several times stated it would not further delay this action absent good cause. (See 8/7/26 and 8/11/26 Minute Orders.) Trial in the instant matter is set for October 5, 2026. A stay at this juncture would impose great prejudice on Plaintiff less than one month before commencement of trial. (Hamrick Decl., ¶ 24.) Further, Defendant commenced this appeal on April 27, 2026, and has chosen to seek a stay just before commencement of trial. (Hamrick Decl., ¶ 5, Exh. C.) Lastly, Defendant has not shown how the appeal necessitates a stay of the trial court proceedings or how the appeal, which has been dismissed three times before, directly impacts these proceedings. (Kline Decl., ¶ 4; Hamrick Decl., ¶ 16, Exh. N.) Thus, the Court does not find a stay would accommodate the ends of justice.

Accordingly, the motion to stay proceedings is DENIED.

CONCLUSION
AND ORDER

Defendant

Michael Dibacco's Motion to Stay Action is DENIED.

MOVING PARTY

shall

provide notice.